CHAPTER 8: JOINT VENTURES AND TEAMING ARRANGEMENTS

1. What Is a Joint Venture Agreement?

For purposes of this SOP chapter, a Joint Venture Agreement (JVA) is an agreement between an eligible 8(a) participant and one or more other business concerns to establish a new legal entity solely for the purpose of performing a specific 8(a) contract. The contract is then awarded to the Joint Venture entity rather than to one or more of the participants.

2. When Are Joint Ventures Permitted?

Joint Ventures are permitted only when:

a. The 8(a) participant lacks the capacity to perform the contract on its own;

b. The Joint Venture arrangement is fair and equitable;

c. The Joint Venture will be of substantial benefit to the 8(a) participant; and

d. The 8(a) participant brings substantial resources and/or expertise to the Joint Venture.

3. What Does Capacity Mean?

a. "Capacity" means the overall ability of a business concern to meet the quality, quantity and time requirements of the contract. Generally, capacity is the firm's ability to provide adequate and appropriate management, labor, equipment, plant, bonding and financial resources to successfully complete the contract. (38 Comp. Gen. 864, affirmed Nov. 6, 1959; B149122, July 31, 1962; B149096, Aug. 9, 1962; B154734, Aug. 26, 1964.)

b. Some of the areas of capacity include:

(1) Adequate bonding (if necessary);

(2) Adequate financing;

(3) Technical expertise;

(4) Experience with similar requirements;

(5) Access to specialized/required equipment; and

(6) Access to appropriate facilities.

4. What Role Must the 8(a) Participant Have in the Joint Venture?

An 8(a) participant must be designated as the managing (or lead) venturer, and an employee of the managing venturer must serve as the project manager responsible for performance of the 8(a) contract.

5. How Does SBA Determine if the Joint Venture Is Small?

a. Except in the case of Joint Ventures under SBA's Mentor/Protégé program, for all sole source requirements and for competitive 8(a) procurements that are equal to or less than one half the size standard of the North American Industry Classification System (NAICS) code assigned to the requirement or are $10 million or less for employee-based size standards:

(1) The 8(a) concern is considered to be affiliated for size purposes with the other concern(s); and

(2) The combined annual receipts or number of employees of all concerns in the Joint Venture must not exceed the size standard for the NAICS code assigned to the 8(a) procurement.

b. For an 8(a) competitive procurement that exceeds half the size standard of the assigned revenue-based NAICS code, or $10 million for an employee-based NAICS code, a Joint Venture of at least one 8(a) participant and one or more other business concerns may submit an offer as a small business so long as each concern is small under the size standard corresponding to the NAICS code assigned to the contact. *See* 13 CFR 124.513(b). *See also* 13 CFR 124.513(b)(3)) and Question 6 of this chapter for special size rules for Joint Ventures between Mentors and Protégés under SBA's Mentor/Protégé program.

6. How Does SBA Determine if the Joint Venture is Small Under the Mentor/Protégé Program?

A Joint Venture between a Protégé 8(a) firm and its approved Mentor will be deemed small provided that the Protégé is small under the size standard for the NAICS code assigned to the procurement and otherwise meets relevant eligibility requirements. *See* 13 CFR 124.513(b)(3). This means that under the Mentor/Protégé program, the combined size of the Mentor and its approved Protégé may exceed the size standard applicable to the project for either sole source or competitive projects, as long as the Protégé is small under the size standard for the NAICS code assigned to the procurement.

7. What Office Must a Participant Notify if it Intends to Enter into a Joint Venture Agreement and What Information Will be Provided to the Participant?

a. An 8(a) participant must notify and request approval from the servicing District Office for any contemplated agreements, arrangements or understandings, regardless of type, that may in any way give an interest to any person, other than those upon whom eligibility is based, in the operation, management or control of the 8(a) concern. This includes JVAs.

b. The District Office must provide the participant and any other parties to the Agreement notice of all provisions required by SBA in the JVA and all restrictions imposed by SBA on such agreements.

8. What Are the General Requirements for Submitting and Obtaining SBA Approval of Joint Venture Agreements?

a. The Joint Venture applicants must submit all required information to the managing 8(a) participant's servicing District Office as soon as possible, but no fewer than 20 working days prior to the scheduled date for contract award. Incomplete packages will be returned to the participant without action. The managing participant is the managing partner or lead venturer.

b. The JVA must be approved by SBA prior to the award of an 8(a) contract to the Joint Venture.

c. Failure to obtain SBA approval of the JVA prior to award of the contract will result in SBA's request that the buying activity terminate the award to the Joint Venture.

d. SBA must approve in advance all proposed amendments, modifications, or extensions to a JVA.

9. What Documentation Must be Submitted by the Joint Venture Applicants to the District Office for Approval of a Joint Venture?

The managing 8(a) participant in the Joint Venture must submit the following information to its servicing District Office:

a. The Joint Venture Agreement (the agreement must meet all the requirements set forth in 13 CFR 124.513(c) and the Question 10 of this chapter);

b. Three years of signed company year end financial statements and federal tax returns for each participant;

c. A letter from the managing 8(a) participant stating:

(1) What the 8(a) participant or participants lack in capacity and/or capability which makes the Joint Venture necessary for project performance;

(2) What specific benefits the 8(a) firm will receive from participation in the Joint Venture (in addition to contract revenue) and how these benefits will affect the 8(a) firm; and

(3) What resources the 8(a) participant will bring to the Joint Venture; and

d. The supplemental information Question 11 of this chapter.

10. What Must Be in the Joint Venture Agreement?

Every JVA to perform an 8(a) contract, including those between Mentors and Protégés, must contain a provision:

a. Setting forth the purpose of the Joint Venture;

b. Designating an 8(a) participant as the managing venturer of the Joint Venture, and an employee of the managing venturer as the project manager responsible for performance of the 8(a) contract;

c. Stating that not less than 51 percent of the net profits earned by the Joint Venture will be distributed to the 8(a) participant;

d. Providing for the establishment and administration of a special bank account in the name of the Joint Venture. This account must require the signature of all parties to the Joint Venture or designees for withdrawal purposes. All payments due the Joint Venture for performance on an 8(a) contract will be deposited in the special account, and all expenses incurred under the contract will be paid from the account;

e. Itemizing all major equipment, facilities, and other resources to be furnished by each party to the Joint Venture, with a detailed schedule of cost or value of each;

f. Specifying the responsibilities of the parties with regard to contract performance, source of labor and negotiations of the 8(a) contract;

g. Obligating all parties to the Joint Venture to ensure performance of the 8(a) contract and to complete performance despite the withdrawal of any member;

h. Designating that accounting and other administrative records relating to the Joint Venture be kept in the office of the managing venturer, unless

approval to keep them elsewhere is granted by the District Director or his or her designee upon written request;

i. Requiring that the final original records be retained by the managing venturer upon completion of the 8(a) contract performed by the Joint Venture;

j. Stating that quarterly financial statements showing cumulative contract receipts and expenditures (including salaries of the Joint Venture's principals) must be submitted to SBA not later than 45 days after each operating quarter of the Joint Venture; and

k. Stating that a project-end profit and loss statement, including a statement of final profit distribution, must be submitted to SBA not later than 90 days after completion of the contract.

11. What Supplemental Information Must Be Submitted by the Joint Venture Applicants to the District Office?

a. Along with the JVA, the Joint Venture applicants must submit the following general identifying information:

(1) The name of the Joint Venture (the new entity);

(2) The EIN of the Joint Venture;

(3) The business credit report (formerly the DUNS) number of the Joint Venture;

(4) The names of the firms participating in the Joint Venture;

(5) For each firm involved in the Joint Venture, submit:

(a) The primary industry of the firm;

(b) The current capabilities of the firm;

(c) A brief description of the history of the firm;

(d) SBA Form 355 (Application for Small Business Size Determination); and

(e) SBA Form 1623 (Certification Regarding Debarment, Suspension and other Responsibility Matters).

b. The Joint Venture applicants must submit a description of the project that includes:

(1) Customer agency;

(2) Size and dollar value of project;

(3) Type of project (general construction, janitorial, etc.);

(4) Expected award date for the project;

(5) Duration of project and requirements for performance;

(6) Copy of the requirement's offer and acceptance letters;

(7) Draft or final copy of bid proposal or offer;

(8) An analysis (prepared by the Joint Venture participants) of the project that describes the anticipated cash flow, personnel, equipment and facility requirements;

(9) A copy of the Statement of Work; and

(10) The procurement's FedBizOpps synopsis.

c. For non-8(a) participants, the Joint Venture applicants must submit:

(1) The number and value of contracts in the same NAICS code as that assigned to the procurement;

(2) Relevant experience and professional licenses, etc.; and

(3) Details of all previous Joint Ventures with 8(a) firms, including the names of all participants in those JVAs.

d. Each 8(a) Joint Venture participant must indicate the effect the JVA and the contract award will have on their performance of existing contracts in terms of the following:

(1) Cash flow;

(2) Personnel;

(3) Equipment; and

(4) Facilities.

e. The Joint Venture applicants must outline the distribution of profits for the Joint Venture and must demonstrate that the combined 8(a) participants will receive at least 51 percent of the profits earned by the Joint Venture.

f. The Joint Venture applicants must demonstrate that the Joint Venture meets the relevant size requirements, and must analyze the percentages of work to be performed by each firm and each subcontractor. *See* 13 CFR 124.510, 124.513(d); 125.6.

g. The Joint Venture applicants must submit the following financial information and certifications:

(1) Documentation indicating the establishment and administration of a special bank account in the name of the Joint Venture. *See* Question 10;

(2) Amount and percentage of capital that each venturer is contributing;

(3) Three years of signed company year end financial statements and federal tax returns for each participant; and

(4) Where appropriate, evidence that the Joint Venture has sufficient bonding.

h. The Joint Venture applicants must submit the following employee information:

(1) A list of the employees needed to perform the project (by position, type and number in each category);

(2) The number and skills of employees supplied to the Joint Venture by each venturer; and

(3) A brief description of the hiring and employee management responsibilities of each venturer.

i. The Joint Venture applicants must submit the following concerning project management and administration:

(1) An explanation of how project management will be handled (the managing 8(a) participant must maintain project management control);

(2) An explanation of the specific responsibilities of the parties with regard to contract performance, source of labor and negotiation of the 8(a) contract; and

(3) A breakdown of work tasks to be performed by each joint venturer.

j. The Joint Venture applicants must also submit:

(1) A statement certifying that all the required provisions have been incorporated into the JVA, as set forth in 13 CFR 124.513(c);

(2) A statement certifying that the provisions of the JVA are fair and equitable and will substantially benefit the 8(a) participant along with an explanation demonstrating this; and

(3) A statement certifying that the 8(a) participant will bring substantial value to the Joint Venture in terms of resources and expertise other than 8(a) status.

12. What is the Review Process for a Joint Venture?

a. The Business Opportunity Specialist (BOS) in the District Office servicing the managing 8(a) participant has the following responsibilities:

(1) Initial review of the entire package for completeness and of the JVA to ensure that all required provisions are included;

(2) Review of the participant firms to ensure compliance with size standard requirements;

(3) Review of the package to determine whether the Joint Venture is fair and whether it will substantially benefit the 8(a) Participants(s);

(4) Review of the package to determine whether the 8(a) participant brings something of value to the Joint Venture in terms of resources and expertise other than its 8(a) status;

(5) Review of the package to ensure the non-managing venturer(s) provides the lacking necessary capacity the managing venturer is missing. Given that the JVA will only be permitted where an 8(a) concern lacks the necessary capacity to perform a specific contract on its own, the BOS must review the package to ensure the non-managing venturer provides this missing capacity. The JVA must address this missing capacity, and the non-managing venturer(s) must provide it;

(6) Preparation of a summary report of findings;

(7) Submission of the summary report and relevant supporting documents to the District Counsel for review for legal sufficiency; and

(8) Submission of the report to the Assistant District Director for 8(a) BD (ADD/8(a)BD) for review and recommendation.

b. The District Counsel is responsible for reviewing the summary report, Joint Venture Agreement and supporting information for legal sufficiency.

c. The ADD/8(a)BD is responsible for reviewing the summary report, JVA and supporting documents, and makes a recommendation to the District Director.

d. The District Director or Deputy District Director is responsible for reviewing the summary report, JVA and supporting documents, and makes a final decision whether or not to approve the Joint Venture.

e. The District Office is responsible for notifying the participant and other interested parties of the decision to approve or deny the Joint Venture.

13. What Analysis Should the BOS Include in the Summary Report?

In assessing the appropriateness of the Joint Venture, the BOS should consider factors including, but not limited to, the following:

a. Whether it fits into the business development needs identified in the firm's approved business plan;

b. The purpose of the Joint Venture and specific benefits to be gained by the 8(a) firm. The BOS will review the package to ensure the non-managing venturer(s) provides the lacking necessary capacity the managing venturer is missing. Given that the JVA will only be permitted where an 8(a) concern lacks the necessary capacity to perform a specific contract on its own, the BOS must review the package to ensure the non-managing venturer provides this missing capacity. The JVA must address this missing capacity, and the non-managing venturer(s) must provide it;

c. The size of the Joint Venture participants, and/or the Joint Venture;

d. The finances of each participant, and financing of the Joint Venture, including cash flow;

e. Affiliations of each participant;

f. Percentage of disadvantaged ownership;

g. Number of and skills of employees supplied to the Joint Venture by each venturer;

h. Type and value of equipment contributed by each venturer;

i. Number and value of contracts received by each participant in the NAICS code assigned to the requirement;

j. Relevant expertise or professional licenses, etc. of each venturer;

k. The 8(a) participant's compliance with business activity targets;

l. Each participant's history of Joint Ventures;

m. The breakdown of work or tasks to be performed by each participant; and

n. The impact of the Joint Venture requirement on performance of the 8(a) participant's existing contracts in terms of cash flow, personnel, equipment, and facilities.

14. What Must the District Office Summary Report Address?

The District Office review should be based on consideration of the factors outlined in the Question 13 above, and the summary report must address the following issues at a minimum:

a. The specific resources that the participant lacks which cause the Joint Venture to be necessary. *See* Question 3 of this chapter pertaining to capacity. In determining whether the 8(a) participant lacks sufficient capacity, the scope of prior contracts and past performance should be considered. The BOS's analysis will address the managing venturer's lacking resources. The analysis specifically addresses how the non-managing venturer(s) provides these lacking resources. Given that the JVA will only be permitted where an 8(a) concern lacks the necessary capacity to perform a specific contract on its own, the summary report addresses how the non-managing venturer(s) provides this missing capacity. The summary report must address this missing capacity and how the non-managing venturer(s) provides it.

b. Whether all required provisions specified in 13 CFR 124.513(c) have been incorporated into the JVA.

c. Whether all the provisions of the Joint Venture are fair and equitable and for the substantial benefit of the 8(a) participant. In order to determine whether the firm will substantially benefit from the Joint Venture, the BOS may consider, among other things, dollars earned on the project, and the likelihood that as a result of the Joint Venture the firm will improve capabilities, increase experience, acquire new equipment, acquire additional employees, be capable of handling larger procurements, obtain expertise in a new area, or acquire new skills.

d. The specific resources the 8(a) participant brings to the Joint Venture. In determining whether the 8(a) participant will bring substantial resources to the Joint Venture, the BOS should consider the equipment, personnel, expertise, bonding, financing, management capabilities, and facilities the 8(a) participant will contribute. For managing venturers, the BOS may also examine the expertise brought to the Joint Venture by the project manager. "Substantial" is not specifically defined, but is

dependent on the nature of the procurement and the particular resources the 8(a) participant brings. However, if the 8(a) participant contributes far less than would warrant its receipt of 51 percent of the net profits of the Joint Venture, the presumption is created that the 8(a) participant is not contributing substantial enough resources to the Joint Venture.

15. Who in SBA Makes the Final Decision for Joint Venture Agreements When More than One District Office is Involved?

Joint Venture Agreements involving program participants having different servicing District Offices must be approved by the District Director of the servicing office of the managing 8(a) firm. Agreements will be forwarded from the ADD/8(a)BD of the District Office servicing the managing 8(a) firm (after comment) to the servicing offices of the secondary 8(a) participant firms. Those offices will be allowed 3 working days to append comments and recommendations. The agreement package will then be returned to the managing participant's servicing District Office for final decision by the District Director.

16. How Much of the Work Under a Requirement Must the Joint Venture Perform?

In order to be awarded an 8(a) contract, the Joint Venture must perform at least the following percentages of work:

a. Services (non-construction). 50% of the cost of the contract incurred for personnel with its own employees;

b. Supplies or products. 50% of the cost of manufacturing the supplies or products (not including the cost of materials);

c. General construction. 15% of the cost of the contract with its own employees (not including the cost of materials); and

d. Special trade construction. 25 % of the cost of the contract with its own employees (not including the cost of materials). *See* 13 CFR 124.510, 13 CFR 125.6.

17. How Much of the Work of the Joint Venture Must the 8(a) Participant Perform?

The 8(a) participant (or the total of all 8(a) participants involved in the Joint Venture) must perform a significant portion of the contract. Significance must be determined on a case-by-case basis, factoring considerations such as:

a. The nature of the industry of the procurement;

b. The level of resources dedicated by the participant or participants (including man-hours, equipment, bonding, etc.); and

c. The ultimate business development benefits that the participant(s) will receive from their performance on the contract.

18. How Does SBA Review Joint Ventures After Approval?

a. The BOS for the managing participant will perform a review of financial information submitted quarterly and annually by the approved Joint Venture.

b. All Joint Ventures must be reviewed annually by the servicing District Office of the managing 8(a) participant. This review takes place as part of the managing participant's annual review. The review will commence with the participant's first annual review after the Joint Venture has been in effect and will result in a report containing the following information:

(1) Whether the Joint Venture participants are complying with prime contractor performance requirements (*see* 13 CFR 125.6);

(2) Whether financial records are being recorded and kept as required;

(3) Whether the personnel of each Joint Venture participant is performing work as stipulated in the agreement and proposal;

(4) Whether equipment is used and accounted for as stipulated;

(5) Whether SBA has approved all amendments to the JVA; and

(6) Whether the 8(a) participant(s) are receiving substantial benefit from the Joint Venture.

c. If there is more than one 8(a) participant in the Joint Venture, the BOS for each non-managing participant must examine the Joint Venture to determine whether the participant from that District Office is receiving substantial benefit from the Joint Venture and whether the participant is contributing substantial resources to the Joint Venture. The reviews for non-managing Joint Venture participants also take place during such participant's annual review.

d. SBA may inspect the records of the Joint Venture at any time, with or without notice.

e. A copy of the report described under item b., above, will be provided to the District Offices servicing the other participants, if any.

19. Are there Special Considerations for Contract Award and Execution?

a. Contract documents must list the name of the Joint Venture as the contractor. Signature approval of the contract is done with the following signatures unless awarded pursuant to a delegation of contract authority:

(1) SBA;

(2) Contracting activity;

(3) Managing venturer (8(a) firm); and

(4) All of the Joint Venture partners.

b. The client case number used in the SACS/MEDCOR system will be the managing participant's case number with added characters, in accordance with SACS/MEDCOR instructions. The BOS must immediately enter the Joint Venture's name, EIN and DUNS number, and the Agency's prime contract number into all relevant databases.

20. Can the Joint Venture Agreement be Amended?

The Joint Venture may be amended with advance approval from SBA. The members of the Joint Venture must submit the amendment(s) and justification(s) to the District Office servicing the managing participant for approval. The approval process is the same as for the original agreement (review and recommendation by BOS and ADD/8(a)BD, legal clearance from District Counsel, and the final decision by District Director).

21. What Actions Must be Accomplished After Contract Completion?

After contract completion, a final close-out meeting should be held with the Joint Venture participants to discuss the value of the Joint Venture with regard to increases in the firm's capacity and capability, whether the goals set forth at the inception of the Joint Venture were actually achieved and if not, why not, and any other concerns arising from the Joint Venture.

22. What is a Contractor Team Arrangement?

A teaming arrangement may be an arrangement in which a potential prime contractor agrees with one or more companies to have them act as its subcontractors under a specified Government contract or acquisition program or it may be a JVA. The requirements under the limitation of subcontracting must be maintained. *See* FAR §§ 9.601 9.602, and 52.219-14, 48 CFR 9.601, 9.602 and 52.219-14. To maximize the number and type of procurement opportunities, 8(a) firms are allowed and encouraged to team with both 8(a) and non-8(a) firms.

However, the SBA is not normally involved with these arrangements, and the SBA is not required to review or approve them.

23. What is the Role of Teaming Arrangements in the 8(a) BD Program?

A teaming arrangement may be a desirable business development tool. However, it may affect a participant's eligibility if it results in circumstances of actual or negative control, affiliation, or loss of small business status. Consequently, a proposed teaming agreement must be carefully evaluated to determine the relationship of the parties.